PIP:INSIGHT

FORENX SCHOOL · COURSE 6 OF 15 · INTERMEDIATE

Chart Patterns Decoded

Recognising and trading classical chart patterns — head and shoulders, double tops and bottoms, triangles, flags and wedges — with objective rules.

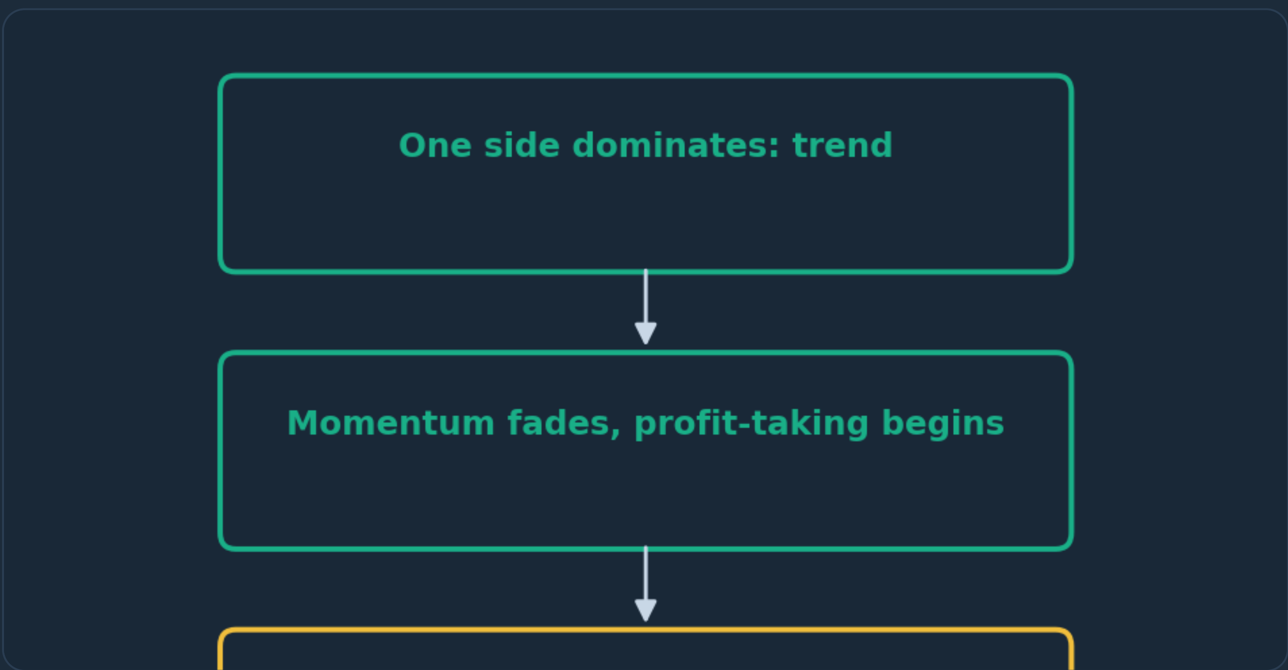

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Chart Patterns Decoded

The Complete Course

PIP:Insight Forex School — Course 6 of 15

First Edition — 2026

> *This book is educational content only and is not financial advice. Nothing in it is a recommendation to buy or sell any currency pair or any other instrument. Every example is an illustration of technique, not a signal. Trading foreign exchange involves a substantial risk of loss and is not suitable for everyone. Test everything on your own charts, on your own data, before risking a penny.*

How to Use This Book

Chart patterns have a reputation problem. Half the internet treats them as magic — draw a neckline, count your money. The other half dismisses them as astrology with trendlines. Both camps are wrong, and both are wrong for the same reason: they never wrote the rules down.

This book is about writing the rules down. Head and shoulders, double tops and bottoms, triangles, flags, wedges — you will meet them all, but always with the same three questions attached. What must be true before you're allowed to call it a pattern? What confirms it? And — the question most pattern books dodge — what does failure look like, and what do you do when it happens?

Read the chapters in order the first time through. The early chapters build the logic: why patterns form at all (Chapter 1) and the crucial split between reversal and continuation (Chapter 2). Chapters 3 to 7 are the pattern library proper. Chapter 8 is the one we'd make compulsory if we could — pattern failure — because a failed pattern is often more informative than a completed one. Chapters 9 and 10 put patterns back into context: structure, levels, and the review process that tells you whether any of this actually works for you.

Work with a charting platform open. Every time you finish a pattern chapter, go and find twenty historical examples of that pattern on the pairs you follow. Not three cherry-picked beauties — twenty, including the ugly ones and the ones that failed. Mark them, measure them, log them. The figures in this book are stylised teaching diagrams; real charts are messier, and the sooner you make peace with that, the better.

One rule of the house: nothing here is a signal. When we walk through a worked example — "sterling stalls at 1.2800, prints a lower high" — it is an illustration of a decision process, not an instruction. You are building a framework you will test yourself, on demo, before it touches real money.

Kettle on. Let's begin.

Chapter 1 — Why Patterns Form: The Psychology Behind the Shapes

Ask most traders why a head and shoulders "works" and you'll get a shrug and something about self-fulfilling prophecy. That answer is lazy, and it matters that it's lazy — because if you don't know *why* a shape forms, you can't tell a real one from a lookalike, and you certainly can't tell when one is about to fail.

Patterns are not pictures. They are the footprints of a fight.

Every pattern is an argument about price

At any moment, a market has buyers who think price is cheap and sellers who think it's dear. When those two groups are evenly matched, price goes sideways. When one side is winning, price trends. A chart pattern is simply what the transition between those states looks like when you plot it.

Take a market in an uptrend. Buyers have been winning: each dip gets bought, each high gets exceeded. Now suppose the buying is getting tired — the big players who wanted in are mostly in, and some are quietly taking profit. What does the chart show? The next rally is weaker. Perhaps it stalls at the old high (a double top forming) or falls short of it (the right shoulder of a head and shoulders). The dip that follows goes a bit deeper than the last one. Nobody rang a bell. But the *behaviour* of the two sides changed, and the shape on the chart is the record of that change.

This is the single most important idea in the book: a pattern is meaningful only because of the order flow story it tells. The shape is the symptom. The shifting balance of buyers and sellers is the disease — or the cure, depending on which side you're on.

Memory, pain and trapped traders

Three psychological forces do most of the heavy lifting.

Memory. Traders remember prices. If EUR/USD was rejected hard at 1.1000 three weeks ago, plenty of people noticed. Some sold there and did well; they'll be tempted to sell there again. Some bought just below and got stopped; they're wary. The level acquires gravity. Patterns are built out of these remembered levels — necklines, pattern boundaries, the flat top of an ascending triangle. None of it works without memory.

Pain. Losing positions change behaviour more than winning ones. A trader long from the top of a failed rally isn't thinking about profit anymore; they're praying for a bounce back to breakeven so they can escape. That praying is real order flow — it caps rallies and creates the lower highs that define so many topping patterns.

Trapped traders. The most powerful moves come when a crowd is caught on the wrong side. A breakout that fails traps the breakout buyers; their forced exits fuel the move the other way. Understand this and Chapter 8 will feel obvious rather than heretical. Every pattern has a population of trapped traders somewhere inside it, and the direction of the resolution usually tells you who they were.

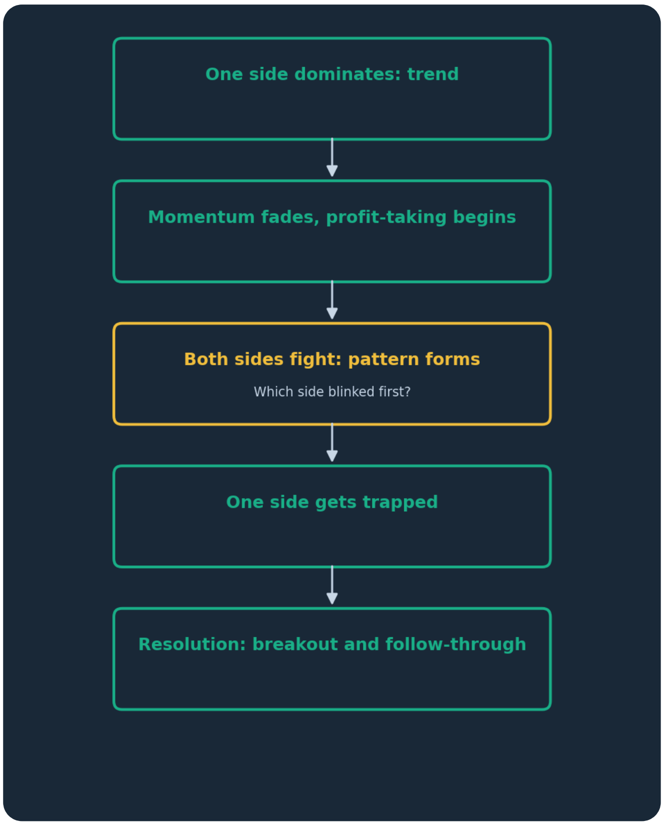

Figure. A pattern is the visible record of a fight between buyers and sellers. The shape matters less than the story: who was winning, who got tired, and who ended up trapped.

Why the same shapes recur across markets and decades

Sceptics ask a fair question: if patterns were real, wouldn't they have been arbitraged away? Here's the honest answer. Patterns persist because the forces that create them — memory, pain, herding, the mechanics of large orders being worked into a market — are permanent features of markets run by humans and by algorithms trained on human behaviour. A fund building a large position can't buy it all at once; it buys dips, which is precisely how the support boundary of a consolidation gets painted. That's not folklore. That's execution mechanics.

But — and this is the caveat that separates this book from the cheerful ones — persistence is not reliability. Patterns are tendencies, not certainties. A well-formed head and shoulders shifts the odds; it does not fix the outcome. Anyone who tells you a pattern "works 83% of the time" is either quoting a study whose conditions they can't reproduce, or making it up. We will not be quoting made-up numbers in this book. We will be teaching you to gather your own, in Chapter 10.

The standard you'll hold every pattern to

From here on, every pattern must pass three tests before it earns the name:

1. **Context.** What came before it? A reversal pattern needs a trend to reverse. A continuation pattern needs a trend to continue. A "double top" in the middle of a random sideways mess is just two bumps.
2. **Construction.** Does it meet objective criteria — the touches, the proportions, the boundaries — written down in advance? If you have to squint, it isn't there.
3. **Confirmation.** Has price actually done the thing — broken the neckline, cleared the boundary — that completes the pattern? Until then you have a suspicion, not a setup.

Context, construction, confirmation. We'll wear those three words out over the next nine chapters, and you'll be glad we did.

> **CHAPTER 1 IN ONE SENTENCE:**
>
> Chart patterns are the visible footprints of a fight between buyers and sellers — meaningful only when you can read the psychology behind the shape, and only ever a shift in odds, never a promise.

Chapter 2 — Reversal vs Continuation Patterns

Before you learn a single pattern, you need the filing system. Every classical pattern belongs to one of two families, and confusing them is the fastest way to lose money with a textbook open on your lap.

Two families, two jobs

Reversal patterns mark the end of a trend. They form after a sustained move and signal that the side that was winning has run out of conviction. Head and shoulders, double tops and bottoms, and (usually) rising and falling wedges live here. Their message: the old trend is dying; prepare for the opposite direction.

Continuation patterns are pauses. The trend is intact; the market is catching its breath — early winners taking profit, latecomers getting positioned — before resuming. Flags, pennants, and most triangles live here. Their message: the trend is resting, not reversing.

Same chapter of the textbook, opposite implications. A flag tells you to look for trades *with* the prior trend. A head and shoulders tells you to look *against* it. Get the family wrong and every subsequent decision — direction, target, stop — is wrong too.

Context is the classifier

Here's the part that trips people up: the shape alone doesn't tell you which family you're looking at. Context does.

A reversal pattern is only a reversal pattern if there's a trend to reverse. This sounds too obvious to write down, and yet the most common pattern-reading error we see in student journals is exactly this: a "double top" flagged in the middle of a six-week range. In a range, price making two highs at resistance isn't a pattern — it's just what ranges do. There is no trend to reverse, no crowd of trapped trend-followers, no fuel.

So before you name any shape, ask: what was price doing *before* this formed? A clean series of higher highs and higher lows into the pattern? Now a topping shape means something. Price wandering sideways for a month? Be honest — you're in a range, and range rules (Course 4 territory) apply instead.

There's a second contextual clue: *where* the pattern sits. Reversal patterns are most meaningful at the extremes of a move — into a major higher-timeframe resistance level after an extended run, say. Continuation patterns are most trustworthy in the middle of a healthy trend, not after the eighth consecutive leg up when the move is old and stretched.

Figure. A change of character: the uptrend's final higher high fails, and price breaks below the last higher low. Reversal patterns are simply this transition given a memorable name and a more detailed shape.

What a reversal actually requires

Strip the names away and every reversal pattern is the same underlying event: a **change of character** in market structure. An uptrend is a staircase of higher highs and higher lows. It ends when the staircase breaks — when a rally fails to make a new high, and then price breaks below the most recent higher low. That's it. A head and shoulders is a change of character with a hat on. A double top is a change of character where the failed rally stalled exactly at the old high rather than short of it.

This is liberating. It means you don't need the pattern to be pretty. If structure has broken, the message has been delivered whether or not the shape earns a textbook name. And it means you can grade patterns: a head and shoulders whose neckline break *also* breaks the last higher low is structurally confirmed twice over. One that hasn't yet broken structure is still just a suspicion.

Continuation patterns have their own structural signature: the pause holds *above* the last meaningful higher low (in an uptrend). The moment a "flag" retraces so deep that it takes out the structural low beneath it, it has stopped being a flag. It's a possible reversal wearing a flag costume.

An honest word about base rates

Which family should you trust more? Opinion, clearly labelled: continuation patterns, most of the time. Trends persist more often than they reverse on any given pause — that's roughly what "trend" means. A trader who only ever traded flags in established trends would be swimming with the current; a trader who hunts reversals is forever trying to catch the one turn among many pauses. Reversal patterns can offer spectacular reward when they work, because you're in near the extreme. But they fail more often than their glamour suggests, and picking tops is expensive tuition.

The practical rule we'd hand a newer intermediate trader: earn your reversal trades. Require more evidence for a counter-trend pattern than a with-trend one — higher-timeframe level behind it, a clear change of character, a decisive confirmation. For continuation patterns in a healthy trend, you can afford to be slightly more forgiving, because the broader current is doing some of the work.

Log both families separately in your journal, by the way. Most traders discover their edge lives overwhelmingly in one family. Better to learn that from your own data in three months than from this book's opinion today.

> **CHAPTER 2 IN ONE SENTENCE:**
>
> Every pattern is either a reversal (a trend dying) or a continuation (a trend resting), the surrounding context — not the shape — tells you which, and counter-trend patterns must always clear a higher bar of evidence.

Chapter 3 — Head and Shoulders (and Inverse) in Depth

The head and shoulders is the most famous pattern in trading, which is precisely its problem: everyone thinks they know it, so almost nobody applies actual rules to it. Squint at any chart long enough and you'll find three bumps. This chapter is about the difference between three bumps and a pattern.

Anatomy and the story it tells

The setup: an established uptrend. Price makes a high (the **left shoulder**), pulls back, then rallies to a *higher* high (the **head**), pulls back again, then rallies once more — but this time fails below the head (the **right shoulder**). The line connecting the two pullback lows is the **neckline**. The pattern completes when price closes decisively through the neckline.

Now the story, because the story is what makes the rules make sense. The left shoulder and head are the uptrend behaving normally — higher highs, business as usual. The first crack appears in the pullback from the head: it's often deeper or faster than previous dips, hinting that sellers have found real size. The right shoulder is the tell. Buyers try again and *cannot even reach the old high*. That's a lower high — the first structural crime in an uptrend. Every buyer from the head is now underwater. When the neckline breaks, the market has printed a lower high and a lower low: the change of character from Chapter 2, fully formed. The trapped longs from the head and right shoulder become fuel for the decline as they exit.

The **inverse head and shoulders** is the same logic upside down at the end of a downtrend: a low, a lower low, a higher low, and a break up through the neckline. Everything in this chapter applies mirrored.

Figure. Left shoulder, head, right shoulder, neckline. The right shoulder's failure below the head is the first lower high of the new downtrend — the pattern completes only when the neckline breaks.

Objective rules: what qualifies

Written down in advance, as promised. A candidate head and shoulders must satisfy all of these before you're allowed to use the name:

1. **A prior trend.** A genuine uptrend into the pattern — visible higher highs and higher lows on the timeframe you're trading. No trend, no reversal pattern.
2. **The head exceeds both shoulders.** Clearly, not by a pixel.
3. **The right shoulder fails below the head.** Ideally it tops in the vicinity of the left shoulder. Rough symmetry is desirable; identical height is not required. A right shoulder markedly *lower* than the left is fine — often stronger, as it shows even feebler buying.
4. **A drawable neckline.** Connect the two reaction lows. It may slope gently up or down; a steeply sloping neckline is a warning that you're forcing the pattern.
5. **Completion = a decisive close beyond the neckline** on your trading timeframe. An intraday poke through that closes back inside doesn't count. Until this close, you have no pattern — you have a watchlist entry.

Proportions matter too. The pattern should be in scale with the trend it's reversing: a five-bar wobble at the top of a six-month trend isn't a head and shoulders, it's noise. And time symmetry is a quality marker — shoulders that took similar time to build suggest an orderly distribution rather than a coincidence.

Trading it: entries, stops, and the measured objective

Three entry approaches, in increasing order of aggression:

The neckline break. Enter on the decisive close through the neckline. Simplest, most objective, and you pay for that with a worse price and vulnerability to the false break.

The retest. Wait for the break, then for price to pull back up to the neckline from below and stall. Better price, tighter stop, clear invalidation. The cost: strong breaks sometimes never retest, and you miss those. Our editorial lean for most traders: take the retest when offered, accept the missed ones as the price of quality.

The right-shoulder anticipation. Selling the right shoulder as it forms, before the neckline breaks, using a lower-timeframe trigger. Best price, worst hit rate — you're trading a pattern that doesn't exist yet. For experienced traders only, at reduced size, and only when a higher-timeframe level backs the shoulder.

Stops belong beyond the point that proves you wrong: above the right shoulder for the standard entries. Above the head is safer still but usually makes the trade too fat to be worth it.

The classical **measured objective**: take the vertical distance from the head to the neckline and project it downward from the break point. Treat this for what it is — a rough estimate of how far trapped-trader fuel might carry price, not an appointment. Illustration, not signal: if a pound pair prints a head at 1.2950 with a neckline at 1.2800, the projection is 150 pips, targeting roughly 1.2650 — and a sensible trader would check what actual support sits in the way before believing that number, because a major level at 1.2700 matters more than arithmetic.

One more honesty clause: the head and shoulders fails often enough that Chapter 8 uses it as a case study. A rejected neckline break that snaps back above the neckline is not a nuisance — it's information, and sometimes a better trade than the pattern itself.

> **CHAPTER 3 IN ONE SENTENCE:**
>
> The head and shoulders is a change of character told in three acts — but it earns the name only with a prior trend, a qualifying shape, and a decisive neckline close, and its measured target is an estimate, never a promise.

Chapter 4 — Double Tops and Double Bottoms

If the head and shoulders is a three-act play, the double top is a two-line joke: the market tried the high twice, and twice was enough. Simpler shape, same underlying event — and the same epidemic of misuse, because "two highs near each other" describes half of every chart ever printed.

The double top: anatomy and psychology

An uptrend runs into a high and pulls back. Buyers regroup and push back up — and stall at, or very near, the same high. Price rolls over and breaks below the pullback low between the two peaks (the **valley low**, which serves as the neckline). Pattern complete.

Psychologically, the first peak is just an uptrend making a high. The second peak is where the information lives. The market returned to a price where sellers previously showed up, and the sellers showed up *again*, in enough size to stop the trend. Meanwhile every trader who bought the second test of the high — and breakout traders love buying second tests — is trapped the moment price sinks back. The break of the valley low converts the shape into structure: a failed high and a broken swing low. Change of character, again. It always is.

The **double bottom** mirrors this at the end of a downtrend: two lows in the same territory, a break above the intervening peak, trapped shorts fuelling the rally.

Figure. Two peaks in the same territory, then a break of the valley low between them. The second peak proves sellers still defend the level; the neckline break proves the buyers have given up.

Rules that keep you honest

The qualifying criteria, in advance:

1. **A prior trend** worth reversing. Two touches of resistance inside a range is a range, not a double top. This error is so common it's practically a rite of passage; skip it.
2. **The peaks are close in price.** As a working tolerance, within a fraction of the pattern's own height — and note that the second peak slightly *exceeding* the first is common and often bullish-trap-flavoured bearish gold: the market ran the stops above the first high, found no real buying, and collapsed. (Course 8 readers will recognise the stop run.) A second peak failing well short of the first starts to look more like a lower high than a double top — still bearish, different label.
3. **Meaningful separation.** The two peaks need genuine time and a genuine valley between them. Two highs three bars apart are one high with a wobble. The pullback between peaks should be deep enough to matter — if the valley is barely a dent, the "pattern" has no neckline worth breaking.
4. **Completion = a decisive close below the valley low.** Before that, what you have is a market at resistance, nothing more. Plenty of "double tops" resolve upward on the third attempt — that's called resistance breaking, and it happens a lot.

Figure. The double bottom: sellers try the same territory twice and fail, and the close above the intervening peak completes the reversal. Until that close, this is just a downtrend sitting at support.

Trading the completion — and the triple-test problem

Entries follow the head-and-shoulders menu: the neckline break, the retest of the broken neckline, or the anticipatory entry at the second peak using a lower-timeframe reversal trigger (a bearish engulfing candle at the retest of the high, say — Course 5 material slotting in neatly). The same trade-offs apply. The anticipatory entry at the second test is genuinely attractive when a higher-timeframe level backs it, because the stop above the highs is tight and the invalidation is crisp — but you will be early and wrong more often, and you must accept that in your sizing.

Stops: beyond the peaks for anticipatory entries; beyond the peaks or the retest failure point for break entries. The measured objective is the pattern's height — peak to valley — projected from the break. Same caveat as ever: it's an estimate to be checked against real levels, not a destiny.

Worked illustration, not a signal. Suppose USD/JPY has trended up for weeks and stalls at 158.00. It pulls back to 156.50, rallies again, pokes to 158.20 — just above the first high — and is slammed back inside within a session. That poke-and-reject above the prior peak is the trap variant: stops above 158.00 were harvested, and no fresh buying appeared. A trader watching this might now treat a decisive close below 156.50 as pattern completion, with a measured objective around 155.00 — and would check the chart for genuine support at, say, 155.20 before assuming price owes them the full measure. Every number there is invented for teaching. The *process* is the product.

What about triple tops? They exist, they're rarer, and they carry a warning: each additional test of a level weakens the case that the level is being *defended* and strengthens the case that it's being *absorbed*. Sellers who defend a level twice and see price return a third time are often watching their supply get eaten. A third test that holds is a pattern; a level tested every other day is a level about to break. Count the touches, and get suspicious, not excited, as they mount up.

CHAPTER 4 IN ONE SENTENCE:

A double top or bottom is a trend failing twice at the same territory and then breaking the level between the tests — valid only after a genuine trend, honest peak separation, and a decisive neckline close, with the second-peak stop-run variant often the strongest of the family.

Chapter 5 — Triangles: Symmetrical, Ascending and Descending

Triangles are what indecision looks like when you draw lines around it. Price's swings get smaller and smaller, the two sides converge — and then someone wins. The trader's job is to identify which triangle they're in, resist the urge to trade *inside* it, and handle the resolution with rules rather than reflexes.

Three triangles, three stories

Symmetrical: lower highs *and* higher lows converging. Both sides are getting more aggressive — sellers selling earlier, buyers buying earlier — and neither has the upper hand. It's genuinely two-sided, which is why the honest classification is "continuation, usually, in the direction of the prior trend — but with the least directional information of the three." A symmetrical triangle tells you a decision is coming; it's coy about the verdict.

Ascending: a flat top and rising lows. Now the story has a tilt. Sellers are defending a fixed price — there's supply parked at that level — but buyers are getting progressively more impatient, buying each dip earlier and higher. Someone is accumulating. Each test of the flat top eats a little more of the resting supply (recall the triple-top warning from Chapter 4: repeated tests weaken a level). The natural resolution is upward, when the supply finally runs out.

Descending: the mirror — a flat floor and falling highs. Buyers defend a fixed price while sellers press lower highs into it. Natural resolution: downward.

"Natural" is doing careful work in those sentences. Ascending triangles break down often enough, and descending triangles break up often enough, to keep everyone humble. The tilt is a lean, not a law — and, as Chapter 8 will argue, the *failure* of the lean is itself tradeable information.

Figure. The ascending triangle: a flat ceiling of supply being tested by progressively higher lows. Each test eats resistance; the pattern leans bullish but is only confirmed by the breakout itself.

Construction rules

To call it a triangle at all:

1. **At least two touches on each boundary** — and prefer three on at least one side. Two lines drawn through two points each is geometry, not evidence.
2. **Genuine convergence.** The range must be contracting. If the swings aren't shrinking, you've got a range or a channel, and different rules apply.
3. **A prior move.** A triangle mid-trend is a continuation candidate. A triangle after nothing in particular is just chop with a stationery habit.
4. **Volatility contraction confirms the story.** Candles shrinking toward the apex is the pattern behaving properly — the coiling spring. A "triangle" full of huge whippy bars isn't coiling; it's brawling.

Two practical notes the textbooks underplay. First, **the apex is a deadline**. Breakouts from roughly the middle two-thirds of the triangle's length tend to have conviction; a market that drifts all the way into the apex has usually let the tension leak out, and what follows is more often a dribble than a break. If price reaches the final tip with no resolution, downgrade the whole structure. Second, **beware the throw-over**: a brief poke through one boundary that instantly reverses. Triangles are stop-run heaven, because everyone can see the same lines.

Trading the resolution

The inside of a triangle is a shrinking, whippy no-man's-land. Unless you're an experienced range scalper on a bigger triangle, don't trade inside it. The trade is the resolution.

Entry on the break: a decisive close beyond the boundary — not a tick through it. For ascending and descending triangles, the flat side is the meaningful boundary; a break of the sloped side is softer information.

Entry on the retest: the break, then a return to the broken boundary that holds. Triangles retest frequently, because the broken boundary is a well-watched level. Same trade-off as always — better price and stop versus occasionally missing the runner.

Figure. A triangle resolving upward: decisive close through the boundary, then a retest that holds before continuation. The retest entry sacrifices the occasional runaway break in exchange for a tighter stop and a cleaner invalidation.

Stops: for a breakout entry, beyond the opposite side of the recent contraction — commonly the most recent swing within the triangle — rather than the far side of the whole pattern, which is usually too distant to size sensibly. For a retest entry, beyond the retest failure point.
Targets: the classical measure is the triangle's height at its widest point, projected from the breakout. As ever, it's an estimate; check it against real structure. Illustration, not a signal: an ascending triangle on EUR/USD with a flat top at 1.0900 and a first low at 1.0820 has a height of 80 pips, projecting roughly 1.0980 on an upside break — and if the daily chart shows a shelf of old supply at 1.0960, the honest target is the shelf, not the arithmetic.

Direction discipline for symmetricals: let the market vote. Trade the break in whichever direction it comes — with extra respect when it agrees with the prior trend, and extra suspicion (smaller size, demand for a retest) when it fights it. Predicting the break direction of a symmetrical triangle in advance is a hobby; trading the break that actually happens is a method.

CHAPTER 5 IN ONE SENTENCE:

Triangles are contracting arguments — symmetrical ones neutral, ascending and descending ones tilted by their flat boundary — and the trade is the confirmed resolution, ideally before the apex deadline, never the guesswork inside.

Chapter 6 — Flags, Pennants and Measured Moves

Flags are the most honest pattern in the book. No grand reversal narrative, no three-act structure — just a strong move, a shallow rest, and (often) more of the same. For traders who've accepted Chapter 2's argument that continuation is the higher-probability family, the flag is the workhorse.

Anatomy: the pole and the flag

Every flag has two parts, and the first is the more important.

The pole is a sharp, impulsive move — strong directional candles, little overlap, the kind of leg that leaves a visible streak on the chart. The pole is the evidence: someone with size wanted in, urgently. Without a proper pole there is no flag, whatever the consolidation looks like. This is the most common flag-spotting error: labelling any small drifting channel a flag. No impulse, no pattern.

The flag is the rest that follows — a shallow, tidy consolidation drifting *against* the pole's direction (a bull flag drifts down or sideways; a bear flag drifts up or sideways). Psychologically it's profit-taking by early entrants being absorbed by late arrivals who missed the pole and are grateful for any pullback. The key word is *shallow*. A healthy flag typically holds the upper portion of the pole; a "flag" that gives back most of the pole isn't rest, it's rejection.

A **pennant** is the same event with a different rest shape: instead of a parallel drifting channel, the pause contracts into a small symmetrical triangle. Functionally, trade it like a flag. The distinction matters to textbook authors more than to your P&L.

Figure. The bull flag: an impulsive pole, then a shallow downward drift as early buyers take profit and latecomers absorb it. The pole is the evidence; the flag is just the pause that lets you join it.

Qualifying rules

1. **An impulsive pole.** Strong-bodied candles, a clear directional streak, ideally breaking some prior level in the process. Grade the pole first; if the pole is a grind, stop reading.
2. **A shallow, contained pause.** The flag holds well within the pole — the deeper it cuts, the weaker the case. Volatility should visibly drop inside the flag: small bodies, overlapping bars, boredom. Boredom is the point.
3. **Against-trend drift or sideways.** A "bull flag" that keeps rising steeply isn't resting; it's just trend, and steep rising consolidations after a pole have a nasty habit of behaving like the rising wedges of Chapter 7.
4. **Brevity.** Flags are short pauses relative to their pole. The longer the pause drags on, the more the pattern degrades into a range, and the less the pole's urgency still means anything.
5. **Structure intact.** In an uptrend, the flag must hold above the last meaningful higher low. If it breaks that, the flag label is revoked on the spot — you're now assessing a possible reversal.

The measured move — and trading the resumption

The flag comes with the tidiest target logic in charting: the **measured move**. Take the pole's length and project it from the point where price breaks out of the flag. The reasoning is that the same participants, having rested, produce a second leg of similar character to the first. Markets are under no obligation to be this symmetrical — but as an *estimating framework* it's genuinely useful, mostly because it forces you to ask "is there room for a second leg before the next real level?" before you enter, rather than after.

Entries, in the usual menu. The **break of the flag boundary** — a decisive close out of the consolidation in the pole's direction — is the standard trigger. The **touch of flag support** (in a bull flag) with a lower-timeframe trigger is the aggressive version, offering a tighter stop below the flag low in exchange for occasionally catching the flag that fails. Stops go beyond the far side of the flag — below the flag's low for a bull flag. If price re-enters and breaks the far side, the resting story is dead; there is no version of the trade where you hang on.

Worked illustration — teaching only, not a signal. Suppose GBP/USD breaks a resistance shelf at 1.2700 and runs impulsively to 1.2790: a 90-pip pole. It then drifts down in small overlapping candles for a day and a half, holding above 1.2745 — the upper half of the pole, volatility clearly contracted. A flag-minded trader would mark the flag's upper boundary, treat a decisive close above it as the resumption trigger, place the stop below 1.2745, and pencil a measured objective near 1.2835-1.2880 (a partial to full pole projection) — then immediately check the higher timeframe, find last month's supply zone at 1.2850, and let the *level* trim the arithmetic. Odds shifted, nothing promised.

One editorial opinion to close: flags reward patience and punish enthusiasm. The trader who buys every red candle in an uptrend calling it "the flag" is donating. The trader who waits for pole, contraction, and trigger — three boxes, every time — is running a process. Same pattern, different professions.

CHAPTER 6 IN ONE SENTENCE:

A flag is an impulsive pole followed by a shallow, contracting, structure-respecting rest, traded on the confirmed resumption with the pole's length as a target estimate — and without a genuine pole, it isn't a flag at all.

Chapter 7 — Wedges and Their Deceptive Breaks

Wedges are the pattern family most likely to make a fool of you, because they look like their opposites. A rising wedge looks like strength — price is going up, after all — and is classically a bearish structure. A falling wedge looks like collapse and is classically bullish. This chapter is about reading the deceit correctly, and about respecting how often wedges deceive the textbook too.

What a wedge is, and why the slope lies

A wedge is a converging structure — like a triangle — but with **both boundaries sloping the same direction**. A rising wedge: higher highs and higher lows, but converging, the lows rising faster than the highs. A falling wedge: lower lows and lower highs, converging, the highs falling faster than the lows.

The convergence is the tell. In a rising wedge, price is still making higher highs — but each push up achieves less. The highs are gaining ground more slowly than the lows are; the buyers are working harder for smaller rewards. Momentum is bleeding out even as price rises. It's the chart equivalent of a runner whose stride keeps shortening: still moving forward, about to stop. That's why the classical resolution is *down*, against the visual slope. The falling wedge mirrors it: sellers still winning on paper, exhausting in practice.

Compare the flag: a bull flag slopes *against* the trend and is healthy rest. A rising wedge slopes *with* the trend and is unhealthy effort. Slope direction relative to the preceding move, plus convergence, separates the two — and mislabelling a rising wedge as a bull flag is one of the costlier taxonomy errors available.

Figure. The rising wedge: price grinds higher but the boundaries converge — each rally achieves less than the last. The slope says strength; the shrinking progress says exhaustion, which is why the classical break is downward.

Two habitats, one shape

Wedges show up in two distinct contexts, and it pays to name which one you're in.

The reversal wedge forms at the end of an extended trend. A long uptrend terminates in a rising wedge: the final grinding push, late money chasing, progress dwindling. When the lower boundary breaks, the last buyers are trapped at the top of the entire move — which is why wedge breaks from this habitat can be violent.

The countertrend wedge forms *against* the prevailing trend, as a correction. A strong downtrend pauses, and the correction takes the form of a rising wedge — a grinding, overlapping, low-conviction drift upward. When it breaks down, the downtrend resumes. In this habitat the rising wedge is functionally a bear flag with a rising slope: a continuation pattern for the larger trend. Same shape, different job — context, again, is the classifier.

Construction rules, briefly, because they rhyme with the triangle's: at least two touches per boundary (prefer three), genuine convergence, both lines sloping the same way, and overlapping, grinding candles rather than clean impulses. That last one matters: wedges are *corrective* in character. A steep clean impulse with converging trendlines drawn on it is a trend, not a wedge, whatever your drawing tools say.

Trading the break — with both hands on the rail

Wedge boundaries are diagonal, converging, and drawn slightly differently by every trader watching. That makes wedge breaks the least trustworthy first signal in this book. False breaks through wedge boundaries — a poke below the rising wedge's support that snaps back — are routine, partly because diagonal lines make poor consensus levels and partly because everyone's stops cluster just beyond them.

So the rules tighten:

1. **Demand a decisive close** beyond the boundary, not an intraday breach. With wedges especially, closes are evidence; wicks are bait.
2. **Prefer the break plus a horizontal confirmation.** The strongest wedge trades break the diagonal *and* a horizontal level — the last swing low inside the rising wedge, say. Diagonal break alone: suspicion. Diagonal plus structure break: pattern.
3. **Love the retest.** Because wedge false breaks are so common, the pullback that retests the broken boundary (or the broken swing) and fails is worth more here than in any other pattern. Miss a few runners; keep your capital.
4. **Momentum divergence is corroborating, not required.** A rising wedge whose final highs come with fading momentum on an oscillator is telling a consistent story. (Course 3 readers can bring their RSI toolkit; nobody needs it to trade the structure.)

Stops go beyond the most recent extreme inside the wedge — above the final high for a rising-wedge short. Targets: the classical objective is the origin of the wedge — the price where it started — which for reversal wedges can be a long way. Take it as an outer estimate and manage against real levels along the route.

Worked illustration, not a signal. Picture AUD/USD grinding upward for two weeks in overlapping candles, highs at 0.6680, 0.6700, 0.6712 — each gain smaller — with lows rising faster beneath. A wedge-aware trader marks the converging lines, notes the corrective character, and waits. Price closes below the lower boundary at 0.6660, then breaks the last swing low at 0.6645: diagonal plus horizontal. The retest to 0.6660 stalls. Stop above 0.6712, first objective the wedge's origin near 0.6580, sanity-checked against the daily support at 0.6600 that sits in the way. Every figure invented; the sequence — shape, close, structure, retest — is the lesson.

> **CHAPTER 7 IN ONE SENTENCE:**
>
> A wedge is convergence sloping with its own move — visual strength hiding real exhaustion — and because its diagonal breaks deceive so readily, it should only be trusted on a decisive close, ideally with a horizontal structure break and a retest to back it up.

Chapter 8 — Pattern Failure: When the Textbook Is Wrong

Here's the chapter most pattern books don't write, because it undermines the sales pitch. Patterns fail. Regularly. Not as a freak event but as a routine cost of doing business — and if your plan only covers the version where the pattern works, you don't have a plan, you have a hope. Better still: failure done properly isn't just survivable. It's a source of trades in its own right, and often the best ones.

What failure actually is

Define it precisely, because sloppy definitions cause sloppy exits. A pattern has **failed** when price completes the pattern — breaks the neckline, clears the boundary — and then decisively negates the completion: closing back through the broken level and, typically, taking out the swing that formed just after the break. A head and shoulders whose neckline break reverses and closes back above the neckline has failed. A triangle that breaks up, stalls, and closes back inside has failed.

Distinguish failure from two lookalikes. A pattern that never completes — the double top whose neckline never breaks before price pushes to new highs — didn't *fail*; it simply never existed as a trade. And a completed pattern that hits your stop after a valid entry is sometimes just a losing trade within a fine process. Failure, strictly, is the market un-ringing the bell: completion, then negation.

Why does it happen? Return to Chapter 1's engine: trapped traders. A pattern break attracts a crowd — it's the most visible trigger on the chart. If the break was driven mostly by that crowd, plus stop-loss orders sitting beyond the level, then once those orders are spent there may be nothing behind the move. Larger players may even be filling their own positions into that liquidity — selling to eager breakout buyers. When price sags back through the level, the breakout crowd is trapped en masse, and their exits power the reversal. This is why failed patterns move fast: they run on forced behaviour, not opinion. The same mechanics as a stop run, wearing a pattern's clothing.

Figure. The failed break: price clears the boundary, attracts the breakout crowd, then closes back inside. Everyone who bought the break is now trapped — which is exactly why failed patterns so often move fast in the opposite direction.

The failure playbook

Three jobs, in order.

Job one: pre-write the failure clause. Before entering any pattern trade, write down what failure looks like and what you'll do. For a neckline short: "If price closes back above the neckline, I exit — no averaging, no waiting for the stop." Your stop protects you from being catastrophically wrong; the failure clause gets you out when the *premise* dies, which is often before the stop is hit. A trade whose reason has been falsified is not a trade you're managing; it's a position you're tolerating.

Job two: exit without negotiation. The moment the failure condition prints, you're done. The psychological pull here is vicious — you did the analysis, the pattern was textbook, surely it just needs time. No. The textbook version included the break holding. It didn't hold. The trader who exits failed patterns quickly loses small and often; the trader who argues with them loses big and memorably. This is where pattern trading is really decided — not in the spotting, in the letting go.

Job three: consider the trade going the other way. The failed pattern is itself a setup — some traders' favourite setup. The failed upside breakout traps longs whose exits fuel the downside; entering short on the close back inside the boundary, stop beyond the false-break high, is a coherent, rule-based trade with crisp invalidation. Two honest cautions. First, only take failure trades you defined *in advance* — "fade everything that wobbles" is not a strategy, it's a mood. Second, respect the double fake: false break up, everyone flips short, price reverses again and breaks up for real. It happens. It's why failure trades need stops like every other trade, and why the correct response to being wrong twice in one pattern is to close the platform and make tea, not to re-enter a third time.

Failure rates, honestly

You'll find confident statistics online — "this pattern works 68% of the time." Treat them all with suspicion, including the flattering ones. Pattern identification is subjective enough that two studies rarely count the same events; conditions, timeframes and eras differ; and survivorship in what gets published is rampant. We won't hand you a number we can't defend. What we'll say instead, and defend fully: across every pattern in this book, failure is common enough that any plan not budgeting for it is broken, and the *distribution* matters more than the rate — completed patterns that work tend to pay multiples of what failed ones cost, provided the failed ones are cut at the failure point rather than ridden in hope.

That "provided" is the whole game. Run the numbers on your own journal in Chapter 10 and you'll likely find pattern trading survives a surprisingly modest hit rate — if, and only if, the failure discipline holds. Which makes Chapter 8, quietly, the chapter your equity curve cares about most.

> **CHAPTER 8 IN ONE SENTENCE:**
>
> Patterns fail routinely — completion then negation, powered by trapped breakout traders — so pre-write the failure clause, exit the moment the premise dies, and treat well-defined failures as tradeable setups rather than personal insults.

Chapter 9 — Combining Patterns With Structure and Levels

A pattern on its own is a sentence out of context. The same head and shoulders means one thing at the top of a mature trend into weekly resistance, and rather less in the middle of nowhere on a Tuesday. This chapter is about location — because in pattern trading, as in property, location is most of the value.

Patterns are the trigger, not the thesis

Here's the mental re-org that upgrades most intermediate pattern traders: stop treating the pattern as the reason for the trade. The *level* and the *structure* are the reason. The pattern is the trigger — the evidence that the level is actually holding and the structural shift is actually happening, right now, in a form with defined risk.

Consider what each ingredient contributes. A higher-timeframe level (support, resistance, a supply or demand zone — Courses 2 and 8 territory) tells you *where* a reaction is plausible. Market structure (the staircase of highs and lows) tells you *what state* the market is in and what would change it. The pattern tells you *that it's happening* and *where you're wrong* — the neckline, the boundary, the shoulder. Level, state, trigger. Remove the pattern and you're guessing at timing. Remove the level and you're triggering on noise. The craft is the stack.

This immediately explains a frustration every pattern trader knows: "I traded a perfect double bottom and it failed." Look back and, more often than you'd like, the perfect double bottom formed at no level of any significance — mid-range, mid-air, mid-nothing. The shape was fine. The location was worthless. Same pattern, no thesis.

The confluence checklist

Before any pattern trade, walk the stack top-down:

1. **Higher timeframe location.** Zoom out one or two timeframes. Is this pattern forming *at* something — a daily support shelf, a prior consolidation edge, a weekly supply zone? A reversal pattern into a meaningful opposing level is a story; a reversal pattern in open space is a doodle. As a blunt rule: no higher-timeframe location, no counter-trend pattern trade.
2. **Higher timeframe direction.** Which way does the bigger picture lean? A bull flag on the hourly *within* a daily uptrend has the current behind it. An hourly head and shoulders *against* a strong daily uptrend is fighting upstream — possible, but demand more evidence and take less size. Trading small patterns against big trends is how tidy setups produce untidy results.
3. **Structural agreement.** Does the pattern's completion coincide with a structural event on your trading timeframe? The strongest completions do double duty: the neckline break that is also the break of the last higher low; the flag breakout that also clears a prior swing high. When the pattern

and the structure break together, two independent reading systems agree — and your invalidation level is doing two jobs at once.

4. **Room to the objective.** Check what stands between entry and the measured target. A pattern projecting 120 pips into a major level 40 pips away is offering 40 pips, whatever the arithmetic says. Let real structure edit the textbook maths, every time.

Figure. The same market on three timeframes: the higher timeframe supplies the level and the direction, the trading timeframe supplies the pattern and the trigger. A pattern that agrees with the level above it is a stacked trade; one that ignores it is a doodle.

A worked stack — and the discipline of the boring middle

Illustration only, as ever — every number invented, no signal implied. Start on the daily: EUR/USD has been trending down for two months, lower highs and lower lows, and has just rallied back to 1.0850 — the underside of a broken support shelf that held three times in the spring. Old support, now candidate resistance, in a downtrend: that's the level and the direction, and the thesis writes itself — *if sellers are still in charge, this is where they should show up.*

Drop to the four-hour. The rally into 1.0850 has gone grinding and overlappy — and the last three swings sketch a rising wedge, converging under the level. Chapter 7's countertrend habitat, forming exactly where the thesis wants it. Now the trigger rules take over: a decisive close below the wedge's lower boundary, preferably breaking the last four-hour higher low at 1.0805 as well, would complete the stack — daily level, daily trend, four-hour pattern, structural confirmation, stop above the wedge high, first objective checked against the daily swing low at 1.0720 rather than blind arithmetic. If the wedge instead breaks *upward* through 1.0850 and holds, the whole thesis is falsified — cleanly, cheaply, and with information about the daily chart thrown in free.

Notice what this framework quietly deletes: the boring middle. Most of what forms mid-range, far from any level, with no structural stakes, simply doesn't qualify — however pretty the shape. Expect to skip most patterns you spot. That's not a bug in the method; it's the method. Pattern traders don't get paid for finding patterns. They get paid for declining the ones in the wrong postcode.

CHAPTER 9 IN ONE SENTENCE:

A pattern is the trigger, not the thesis — the higher-timeframe level and trend supply the reason, structure supplies the confirmation, and the patterns worth trading are the minority that form in the right location with room to run.

Chapter 10 — A Pattern Trader's Review Process

Everything before this chapter was theory you inherited from us. This chapter is how you find out what's actually true — for you, on your pairs, on your timeframes, with your hands on the keyboard. Pattern trading without a review process is just confident guessing with better vocabulary.

Journal like a scientist, not a diarist

The unit of review is the logged trade, and pattern trades need pattern-specific fields. For every setup — taken *or* skipped — record:

- **Pattern type and family** (head and shoulders / reversal; bull flag / continuation).
- **Grade at entry.** Score the setup against the book's criteria *before* the outcome is known: context present? construction rules met? confluence stack (Chapter 9) complete? A simple A/B/C grade, defined in writing, is enough.
- **Trigger used.** Break, retest, or anticipatory entry.
- **The pre-written failure clause** — what would negate the premise (Chapter 8), and, later, whether you honoured it.
- **Outcome in R** — profit or loss as a multiple of initial risk — plus what the measured objective predicted versus what price did.
- **A screenshot at entry and at exit.** Your memory of what the chart "clearly showed" is not admissible evidence. The entry screenshot is the only honest record of what you actually saw.

That last pairing deserves emphasis, because hindsight is the pattern trader's occupational disease. Every completed move looks like it had an obvious pattern in front of it. The entry screenshot keeps you honest: either the rules were met at the time, or they weren't.

Twenty trades per pattern type is a bare minimum before the numbers whisper anything; more is better. Which is fine — this is a career skill, not a fortnight's project.

The monthly interrogation

Once a month, sit down with the journal and ask questions the data can answer:

Which patterns are earning their place? Break results out by pattern type and family. Most traders discover their results cluster: strong in continuation flags, mediocre in triangles, bleeding in counter-trend reversals — or some other mix entirely. The point is that it's *your* mix, and no book can tell you what it is. Prune what your data condemns; feed what it favours.

Does grade predict outcome? If your A-grade setups outperform your C-grades, your grading criteria contain real information — trade only the A's and B's. If they don't, your criteria are decorative, and that's worth knowing too: rewrite them.

Which trigger suits you? Compare break entries against retest entries against anticipatory ones — not just in R, but in how well you executed them. Some traders sit happily through a retest; others fidget themselves out of good positions. Execution quality is data.

Did you honour the failure clauses? Count the trades where the premise died and you exited on the clause, versus the ones where you argued. Then look at what the arguing cost. In our experience of reading student journals, this single number — the cost of overstaying failed patterns — explains more variance between struggling and improving pattern traders than pattern selection ever does. It is also entirely fixable, which is rather the point of measuring it.

What did skipped setups do? Reviewing the ones you didn't take tells you whether your filters are protecting you or starving you.

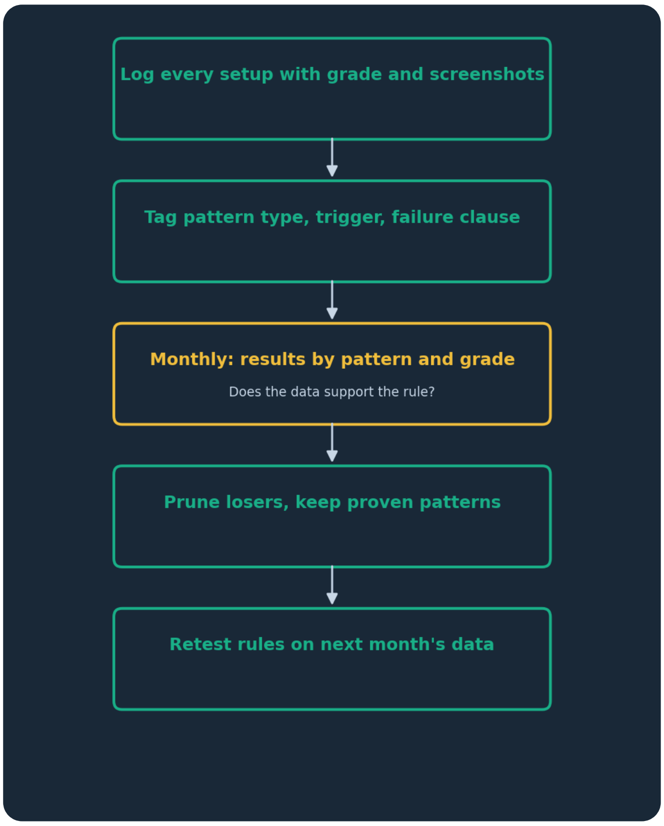

Figure. The review loop: log, tag, interrogate, prune, repeat. The book supplies starting hypotheses; only your own journal can promote them to rules you're entitled to trust.

Rules earn tenure — they don't get it free

Treat every rule in this book as a hypothesis on probation. "Prefer retest entries." "Demand higher-timeframe confluence for reversals." "Cut failures at the clause, not the stop." Each is defensible reasoning — and each should have to survive contact with your data before it becomes *your* rule. When your journal contradicts the book, the journal wins, provided the sample is honest and large enough. When your journal contradicts your *feelings*, the journal also wins, and rather more often.

A last word on expectations, in the interest of the plain speaking we promised. Pattern trading, done with the discipline in this book, is a craft with a genuine logical foundation: patterns encode real crowd behaviour, location filters real edge from noise, and failure management converts a modest hit rate into a survivable business. None of that makes it easy, fast, or guaranteed — most of the work is saying no to pretty shapes in bad postcodes and closing failed trades without a eulogy. The traders who last are not the ones who spot the most patterns. They're the ones whose review process quietly taught them which few patterns, in which few places, deserve their money — and who had the temperament to wait for exactly those.

Demo first. Small size after. The journal always.

CHAPTER 10 IN ONE SENTENCE:

Log every pattern trade with its grade, trigger, failure clause and entry screenshot, interrogate the results monthly by pattern and grade, and let your own data — not this book, and never your feelings — decide which patterns keep their place in your playbook.

The One-Page Version

1. **Patterns are footprints, not magic.** Every shape is the record of a fight between buyers and sellers; if you can't tell the order-flow story behind it, you can't trade it.
2. **Context, construction, confirmation.** No pattern exists without a qualifying prior move, objective criteria met without squinting, and a decisive close that completes it.
3. **Know the family.** Reversals end trends and need a trend to end; continuations are pauses and must hold structure. Counter-trend patterns always require more evidence than with-trend ones.
4. **Necklines and boundaries only count on closes.** Intraday pokes through well-watched lines are bait; decisive closes are evidence, and retests that hold are better evidence still.
5. **Measured objectives are estimates.** Project the height by all means — then let real levels in the path edit the arithmetic. The market doesn't owe you the full measure.
6. **Wedges lie about their slope.** Rising wedges look strong and lean bearish; falling wedges look weak and lean bullish. Trust the convergence and the structural break, not the visual direction.
7. **Pre-write the failure clause.** Before entry, define exactly what negates the premise and exit the moment it prints — the stop is for disaster, the clause is for dead theses.
8. **Failed patterns are setups.** Completion-then-negation traps the breakout crowd, and their forced exits fuel the reverse move — but only fade failures you defined in advance.
9. **Location is most of the value.** The level and higher-timeframe trend are the thesis; the pattern is only the trigger. Skip every pretty shape in the wrong postcode.
10. **Your journal outranks this book.** Grade every setup at entry, screenshot it, review monthly by pattern and grade, and keep only the patterns your own data defends.

Test Yourself — 15 Questions

1. According to this book, why do chart patterns carry meaning at all? A) They are mathematically guaranteed to repeat B) They record shifts in the balance between buyers and sellers C) Regulators require institutions to trade them D) They only work because retail traders believe in them

2. What are the three tests every pattern must pass before it earns its name? A) Volume, volatility, velocity B) Context, construction, confirmation C) Entry, stop, target D) Trend, timeframe, trigger

3. Two touches of resistance in the middle of a long sideways range are best described as: A) A double top B) A head and shoulders missing its head C) Normal range behaviour, not a reversal pattern D) A failed ascending triangle

4. In a head and shoulders, where does the first structural "crime" against the uptrend appear? A) The left shoulder B) The head C) The right shoulder failing below the head D) The measured objective

5. When is a head and shoulders actually complete? A) As soon as the right shoulder forms B) When the neckline is drawable C) On a decisive close through the neckline D) When volume declines on the head

6. A double top's second peak pokes slightly above the first, then is slammed back inside. The book's reading of this variant: A) The pattern is invalidated B) It is often the strongest version — a stop run above the highs that found no real buying C) It converts the pattern into a triple top D) It guarantees a deeper decline

7. What does repeated testing of the same level (a fourth, fifth touch) increasingly suggest? A) The level is getting stronger B) A triple top is forming C) The level's supply or demand is being absorbed and may break D) The market is in a symmetrical triangle

8. In an ascending triangle, the flat top with rising lows tells the story of: A) Buyers defending a floor against impatient sellers B) Fixed supply being eaten by progressively more aggressive buyers C) Two equally matched sides with no lean D) A trend that has already reversed

9. Why does the book treat the triangle's apex as a "deadline"? A) Breakouts at the apex are the most powerful B) Patterns legally expire at the apex C) Price drifting all the way to the apex usually means the tension has leaked out D) The apex is where the measured move is calculated from

10. What disqualifies a consolidation from being called a flag, no matter how tidy it looks? A) It slopes against the prior move B) It lacks an impulsive pole before it C) It lasts fewer than ten bars D) It occurs on a Friday

11. A rising wedge differs from a bull flag primarily because it: A) Slopes with the preceding move while converging, signalling fading momentum B) Slopes against the preceding move C) Never appears in uptrends D) Requires an RSI reading above 70

12. The book defines pattern failure as: A) Any pattern trade that loses money B) A pattern that never completes C) Completion of the pattern followed by decisive negation of the break D) A pattern forming without volume confirmation

13. Why do failed breakouts so often produce fast moves in the opposite direction? A) Exchanges accelerate prices after false breaks B) The trapped breakout crowd's forced exits fuel the reversal C) Measured objectives flip automatically D) Market makers are obliged to fill the gap

14. In the Chapter 9 framework, what role does the pattern itself play in a trade? A) The entire thesis B) The trigger — the level and higher-timeframe structure supply the thesis C) A substitute for a stop-loss D) A way to predict news events

15. What does the book say should happen when your honest, adequately sized journal data contradicts a rule from this book? A) Collect data until it agrees with the book B) Average the two views C) The journal wins — rules must earn tenure from your own results D) Abandon pattern trading entirely

Answer Key

1. B — Patterns matter because they record shifting balance between buyers and sellers — memory, pain and trapped traders — not because of magic or guarantees. **2. B** — Context (a qualifying prior move), construction (objective criteria met), confirmation (a decisive completing close). **3. C** — With no trend to reverse and no trapped trend-followers, two highs at range resistance are just normal range behaviour. **4. C** — The right shoulder failing below the head prints the uptrend's first lower high — the beginning of the change of character. **5. C** — Until a decisive close through the neckline, there is a suspicion on a watchlist, not a completed pattern. **6. B** — The poke-and-reject above the first peak harvests stops and reveals no genuine buying — the trap variant, often the strongest. **7. C** — Each extra test eats the resting orders defending the level; mounting touches should raise suspicion of a break, not confidence in the level. **8. B** — Fixed supply at the flat top is being consumed by buyers who purchase each dip earlier and higher. **9. C** — Breaks from the middle two-thirds tend to carry conviction; a drift into the apex usually resolves as a dribble, so downgrade the structure. **10. B** — No impulsive pole, no flag: the pole is the evidence of urgent directional interest that the rest merely pauses. **11. A** — A rising wedge converges while sloping with the move (effortful, fading progress); a bull flag drifts against the move (healthy rest). **12. C** — Failure is completion then negation — the market un-ringing the bell — distinct from patterns that never complete or ordinary losing trades. **13. B** — The break's buyers (or sellers) are trapped when price closes back inside; their forced exits power the move the other way. **14. B** — The pattern is the trigger with defined risk; the higher-timeframe level and trend are the reason for the trade. **15. C** — Every rule is a hypothesis on probation; with an honest and sufficient sample, your own journal outranks the book.

Appendix — The Glossary, in Pub English

Every term used across the PIP:Insight school — explained the way a mate would across a table. 40 terms, no jargon left standing.

Ask
The price you buy at. Always a touch higher than the bid — the gap is the spread.

Base currency
The first currency in a pair. The price says how much of the second one unit of this buys.

Bearish
Expecting a price to fall. The bear swipes down.

Bid
The price you sell at.

Breakout
Price escaping a level it's been stuck under (or over). Real ones keep going; fake ones snap back and take beginners' money with them.

Bullish
Expecting a price to rise. The bull tosses up.

Candlestick
One bar of price history: open, high, low, close, drawn so you can read the fight at a glance.

Central bank
A country's money authority (Bank of England, the Fed). The single biggest force in forex.

Cross
A pair without the US dollar in it, like EUR/GBP.

Drawdown
How far your account has fallen from its peak. The number that decides whether you survive long enough to be right.

Economic calendar
The diary of scheduled news releases — rate decisions, jobs numbers, inflation prints — that move markets.

Entry
The price where your trade opens.

Exotic
A major currency paired with a smaller economy's. Wide spreads, sudden moves — not a beginner's playground.

Fill
The actual price your order executed at, which is not always the price you asked for.

Fundamentals
The economic story behind a currency: growth, inflation, interest rates, politics.

Going long
Buying — profiting if the price rises.

Going short
Selling first — profiting if the price falls. Completely normal in forex.

Leverage
Trading with more exposure than your deposit. Multiplies both directions — the loaded word in retail trading.

Liquidity
How easily you can trade without moving the price. Majors have oceans of it; exotics have puddles.

Lot
A standard position size: 100,000 units of the base currency. Minis (10k) and micros (1k) exist for sane humans.

Major
A heavyweight dollar pair: EUR/USD, GBP/USD, USD/JPY and friends. Tightest costs, deepest markets.

Margin
The deposit your broker holds while a leveraged trade is open.

Margin call
The broker telling you your account can no longer support your open trades. You never want the call.

Pip
The market's inch — the standard unit of price movement, usually the fourth decimal place.

Pipette
A tenth of a pip. Fine print.

Position sizing
Deciding how much to trade so a normal loss stays boring. The most underrated skill in the game.

Quote currency
The second currency in a pair — the one the price is counted in.

R-multiple
Profit or loss measured in units of what you risked. Risked £50, made £100 — that's +2R. The only honest scoreboard.

Range
A market bouncing between a floor and a ceiling, going nowhere with enthusiasm.

Resistance
A ceiling where selling has repeatedly shown up.

Retest
Price returning to a broken level to check it holds from the other side. The polite entry.

Risk-reward
What you stand to make versus what you're risking. 2:1 means the win pays double the loss.

Slippage
The difference between the price you wanted and the price you got, usually in fast markets.

Spread
The gap between bid and ask — the cost of every trade, paid on the way in.

Stop loss
The pre-set exit that caps a loss when the idea is proven wrong. Non-negotiable in our book.

Support
A floor where buying has repeatedly shown up. The market's memory.

Swap
The small overnight charge (or credit) for holding a position, driven by interest-rate gaps.

Take profit
The pre-set exit that banks the win at your target.

Trend
The market's prevailing direction — higher highs and higher lows up, the mirror down.

Volatility
How violently a market moves. Opportunity and danger are the same number.

Continue Your Journey

This book is Course 6 of 15 in the PIP:Insight Forex School. Everything below is free, forever:

- **The free video series** for this course — the PIP:Insight YouTube channel.
- **The Trading School** — 6 levels, 36 lessons, quizzes: pip-insight.co.uk/school.
- **The Trade Journal** — equity curve, discipline score, priced playbook: pip-insight.co.uk/journal. Your data never leaves your device.
- **The Daily Analysis** — every instrument mapped before London opens.
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